

will manufacture bags here?

What's needed is a rational, progressive duty structure that offers incremental protection at every stage of value addition. Nothing should be duty-free. A simple framework would ensure fairness and growth: 5% on basic raw materials, 10% on intermediates, 15% on semi-processed goods, 20% on finished products, and 25% on consumer goods. This allows each stage of manufacturing a modest but essential protective margin.

A clear example: raw materials such as Iron ore, Crude, PTA, MEG, and CPL at 5%; Polyester and Nylon chips at 10%; Man-Made Yarns at 15%; Fabrics at 20%; and Consumer Goods at 25%.

Instead, we see distortions. Plastic granules are taxed at 7.5%, while PET and Nylon chips attract only 5% and **their finished products i.e. Polyester and Nylon Filament Yarn are also taxed at 5%. This results in zero effective protection, defeating the very purpose of domestic value addition.**

Do you find any other irrationality in import duties?

Yes. Consider solar panels. Their import duty, once 44% and now 22%, remains highly detrimental for a country that is still not power-secure. Solar panels are capital goods-imported once-and generate clean electricity for 25–30 years while reducing coal imports and protecting the environment.

Capital goods should attract minimal duties. Instead, high import taxes and restrictions actively discourage industries from adopting renewable energy. With India's power costs already among the highest globally, this policy makes our manufacturers less competitive.

The contradiction is stark. Coal imported from Australia attracts 0% duty-yielding no revenue for the government and offering no incentive for businesses to shift to clean energy.

Mr. Kaushik, you know a great deal about Indian tax laws. You are performing a valuable service to the government by bringing these points to the forefront so they can be rectified. Do you have any other points to add?

I maintain that **healthy competition makes us innovative, creative and sincere, while monopoly breeds lethargy and incompetence.** Our tax laws must be rational to allow everyone to grow and merit to flourish. They should be framed with India's interest paramount and with every entrepreneur, big or small, in mind.

Because of crony capitalism, income disparity in India is among the highest. Since 1986, I have closely observed other Southeast Asian countries and seen how they have grown over the last four decades. The question that bothers me is: why are we still far behind in productivity when our intellectual potential is so strong? **These irrational tax laws are a major hurdle to India's growth.**

Your view on the Indian tax system?

In India, businessmen are often seen as tax evaders, while corrupt bureaucrats are viewed as revenue contributors. This perception is misplaced. Simpler tax laws and rational rates would significantly improve compliance and reduce disputes. **This will directly increase productivity by eliminating unnecessary compliance burdens.**

Economic growth requires trust in entrepreneurs and accountability in administration. Yet bureaucrats continue to exercise disproportionate power. Under the Prevention of Corruption Act, a bribe-giver can be jailed immediately, while prosecuting a bribe-taker requires prior approval from senior officials-approval that is seldom granted. This imbalance weakens enforcement and public confidence.

Businesses cannot survive long delays and the extra costs they create. In India, a slow legal system means that simply refusing to pay a bribe can put a business at serious risk and even shut it down. If officials were held responsible for unnecessary delays and harassment, the excuse of "acting in the interest of revenue" would no longer be valid.

This issue is not new. On NRI Day, former Finance Minister Shri Jaswant Singh Ji admitted: **"We, the government, never encourage business and always create hurdles—but one business we could not**

understand still thrived in India i.e. software."

Judicial accountability is equally critical. Repeated reversals by higher courts should carry consequences, and strict timelines must be enforced. Ultimately, rational tax laws would reduce litigation and restore trust between the state and enterprise.

Mr. Kaushik, how can we make India great and fulfil our dream of 'Make in India'? Do you have any suggestions?

To make **"Make in India"** meaningful, GST must first be fixed. The system needs just two rates: **zero** on fruits, vegetables, raw agricultural produce, and oral medicines, and **15% on all other goods.**

Import duties should be made rational and progressive so that each value addition enjoy reasonable protection from cheap imports and at the same time encourage us to do more **"Make in India"**.

Equally urgent is the **immediate refund of GST blocked on capital goods due to inverted duty structures**, along with interest. Entrepreneurs are paying bank interest on what is effectively their own money lying idle as Input Tax Credit (ITC) with the government. No manufacturing economy can function with capital locked instead of circulating.

An entrepreneur's responsibility is to run factories efficiently, but two critical costs remain beyond their control: **power i.e. electricity and bank interest i.e. credit.** Power in India is prohibitively expensive. Competing with China under such conditions is impossible.

The solution is twofold: either reduce power costs substantially or allow entrepreneurs to install their own Solar or Wind power.

However, even here, restrictive banking rules apply. Today, excess solar power is "banked," but only **30% can be offset against grid consumption**, forcing industries to buy costly grid power despite having surplus energy. Why is this so?

Let me give you another example. My unit is in the Prime Minister's home state. Although, my roof is available to install a **5 MW solar plant**, net metering permissions restrict me to a **1 MW solar plant**, even though my unit consumption is 40L units/month. A 5 MW plant would generate only 6L units/month, only a small fraction of our actual requirement. **If industries cannot use their own capital to generate clean power for self-consumption, aggressive promotion of schemes like Urja Awas Yojana rings hollow.** No one can explain this to me.

The second crippling cost is credit. In China and the Far East, interest rates average **4%**; in India, small entrepreneurs pay **15–16%**. In our case, **₹54 crore** in blocked GST (ITC), high power costs and Chinese dumping at **5.0% import duty** led to losses and a credit rating company downgrade from **BBB to BB**, allowing banks to raise interest to **15.77%**. This means banks in India are positioned to kill a running industry that is struggling due to bad government policies rather than supporting it. We survived by selling assets, partially installing renewable energy, and altering our product mix-eventually regaining BBB rating. Many others do not.

My point is this: the government should support such functional industries by correcting its policies, and banks should extend support instead of burdening them with higher interest costs. On one hand, the government offers many incentives and announces schemes like PLI to create new industries but on the other, it does not give enough liberty to entrepreneurs to run existing ones successfully. If those Industries will close, then we will be again dependent on imports for those goods also.

If **"Make in India"** is to succeed, Single GST rate, **basic** import duties must be rationalised giving enough protection to each value addition. In some cases, anti-dumping measures should be enforced.

While rationalising import duty and giving enough protection govt should take Power and Bank Interest costs into consideration which are beyond the entrepreneur's control. **Without correcting these structural disadvantages, manufacturing competitiveness will remain a slogan, not a reality..**